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Summary of Sep 30 call

1 message

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Attached is the raw transcript.

Here is the summary -

I reviewed the full call. This one is important because it adds several pieces that were still fuzzy in the PRD/database design.

The biggest shift is that GroundUp should not stop at **construction budget vs actual**. It needs to follow the project **from acquisition through construction through final sale and investor ROI**. That came through clearly in the discussion. RE Groundup App

Here are the changes I would now make.

1. Tie timeline directly to budget categories / milestones

The team correctly identified that the construction timeline should not be a separate generic calendar. It should connect to the budget structure.

For each major budget category or milestone, store:

- planned start
- planned completion
- actual start
- actual completion
- expected completion
- budgeted amount
- actual spend
- lender funded amount
- progress %
- photos / evidence
- inspection status

You specifically discussed using major budget sections like permits, site work, framing, mechanical, interiors, etc., rather than forcing a date onto every tiny line item. RE Groundup App

That is the right approach.

2. Add photo/progress evidence as a first-class object

This was stronger in this call than before.

For each milestone/budget line:

Budget + Timeline + Actual Spend + Draw Funding + Photo Evidence

That becomes a very powerful owner view.

The bank itself often requires photo evidence or an appraiser to verify work before releasing funds, so photos are not merely cosmetic—they are evidence of progress. RE Groundup App

Database addition:

```
progress_evidence
- id
- project_id
- milestone_id
- budget_line_id
- document_id
- evidence_type
- captured_at
- uploaded_by
- notes
- verified_status
```

Evidence types:

```
PHOTO
INSPECTION
GC_CONFIRMATION
LENDER_INSPECTION
APPRAISER_REPORT
OTHER
```

3. Contingency needs its own workflow

This is now clearly a required feature.

When a budget category goes over, GroundUp should ask:

Is this an approved overrun?

Should it be funded from contingency?

Is this an unplanned cost?

You gave the example of unexpected foundation work requiring piles and using contingency to absorb that cost. RE Groundup App

So I would add:

```
contingency_movements
- id
- project_id
- source_budget_line_id
- destination_budget_line_id
- amount
- reason
- status
- approved_by
- approved_at
```

This prevents the team from simply editing the original budget.

4. Add the Pro Forma / Profit Model

This is one of the biggest changes.

Your real product promise is not:

“Are we managing the construction project?”

It is:

“Are we still going to make the money we expected?”

You explicitly corrected the team on this in the meeting. RE Groundup App

So GroundUp needs a project economics layer.

Initial project assumptions

- acquisition cost
- construction budget
- soft costs
- financing costs
- projected interest
- taxes
- insurance
- carrying costs
- expected sale price
- selling commission
- legal/closing costs
- target profit
- target ROI
- expected project duration

Then continuously calculate:

Original Pro Forma

vs.

Current Forecast

Example:

Metric	Original	Current
Acquisition	\$1.0M	\$1.0M
Construction	\$1.2M	\$1.32M
Interest/carry	\$150K	\$225K
Total cost	\$2.35M	\$2.545M
Expected sale	\$3.0M	\$3.0M
Profit	\$650K	\$455K
ROI	27.7%	17.9%

That screen is probably more valuable than many of the construction-management screens.

5. Interest needs much deeper modeling

The call surfaced two financing structures:

Model A — Interest reserve

The lender holds an interest reserve and pays monthly interest out of that balance.

Model B — Monthly interest payment

The developer pays interest directly each month.

You discussed both models explicitly. RE Groundup App

So loans should include:

```
interest_payment_method:
RESERVE
MONTHLY_OUT_OF_POCKET
CAPITALIZED
OTHER
```

And fields such as:

```
interest_reserve_initial
interest_reserve_remaining
interest_paid_to_date
current_principal_drawn
```

daily_interest_cost
monthly_interest_cost

This lets GroundUp answer:

"If the project finishes 60 days late, what happens to my profit?"

And after construction:

"If it takes another 8 months to sell, what happens to my return?"

That was another clear pain point from the call. RE Groundup App

6. GroundUp needs acquisition → construction → disposition

I would now structure the product lifecycle like this:

ACQUISITION
↓
PRE-CONSTRUCTION
↓
CONSTRUCTION
↓
COMPLETION
↓
SALE / DISPOSITION
↓
FINAL ROI

Not just:

construction → complete

Because you want to calculate the complete investment result.

Acquisition data

- purchase price
- acquisition loan
- closing costs
- legal
- recording fees
- initial equity

Construction data

- budget
- actuals
- lender draws
- financing
- change orders
- schedule

Disposition data

- projected sale price
- actual sale price
- realtor commission
- seller closing costs
- legal fees
- loan payoff
- other selling expenses

Final output

- net proceeds

- total project cost
 - project profit
 - investor distributions
 - ROI
 - annualized return / IRR later
-

7. Support TWO GC commercial models

This was probably the most important architecture discussion in the second half.

You clearly have at least two different project models.

Model 1 — Open-book / Cost-plus / Partnership

Like your projects.

You may see:

- subcontractor costs
- credit-card transactions
- checks
- detailed line items
- actual cost
- GC profit share or markup separately

Very granular reconciliation.

Model 2 — Fixed / Milestone GC Contract

Developer hires GC for:

\$2M total

with milestones:

- Site work: \$300K
- Framing: \$400K
- Mechanical: \$350K
- etc.

The developer may **not care about every subcontractor invoice**.

Once milestone is complete:

GC invoices \$300K.

This was explicitly discussed in the meeting. RE Groundup App

So Project should have:

construction_contract_model

OPEN_BOOK
COST_PLUS
FIXED_PRICE
MILESTONE_BASED
PROFIT_SHARE
HYBRID

This setting should materially change the UX.

That is an important design decision.

8. GC contract should be an input document

This was a very good insight from the call.

When a new project is created:

Upload GC Contract

AI extracts:

- contract amount
- payment structure
- milestones
- markup
- profit %
- retainage
- change-order rules
- required documentation
- payment terms

Then GroundUp configures the project workflow accordingly. RE Groundup App

That is much better than asking a user 30 setup questions manually.

9. Actual spend needs several evidence levels

The transcript also clarified something important: sometimes a proper invoice simply does not exist.

There may instead be:

- invoice
- signed subcontract
- bank check with memo
- credit card transaction
- GC payment request
- manually confirmed amount

For example, checks often include a memo such as “plumbing” or “electrical,” and known vendors can imply a trade. RE Groundup App

So add:

evidence_strength

VERIFIED_INVOICE
SIGNED_CONTRACT
BANK_TRANSACTION
CARD_TRANSACTION
GC_CONFIRMATION
MANUAL_ENTRY

GroundUp can surface the confidence of the spend record rather than pretending every number has identical support.

10. Credit card feeds are highly relevant

Your own operating model is actually a perfect GroundUp use case.

You described separate Amex card numbers by project and then manual reconciliation every few days to ensure expenses were charged to the right property. RE Groundup App

That suggests a future integration:

Corporate Card Feed

GroundUp automatically detects:

Home Depot — \$3,482

Card ending 8421 → Project A

AI category:

Finish Carpentry — 82% confidence

Developer/accountant confirms.

This could remove significant manual work later.

Not P0, but definitely roadmap.

11. Add inter-project transfers / temporary loans

The team found money moving between projects and thought the data was wrong.

But you clarified that sometimes one project temporarily funds another because a lender draw is delayed, and then the amount gets repaid. RE Groundup App

That means we need:

inter_project_transfers

from_project_id
to_project_id

amount
transfer_date

type:
TEMPORARY_LOAN
CAPITAL_TRANSFER
REIMBURSEMENT
OTHER

repaid_amount
repaid_date
status

Otherwise GroundUp will incorrectly classify these as revenue or expenses.

12. Roles / personas now need to be finalized

Dharmesh is right that this should happen before the team builds more UI. RE Groundup App

I would define these six roles:

Developer / Owner

Needs:

- financial health
- profit
- schedule risk
- decisions

Investor

Needs:

- capital invested
- project status
- expected ROI
- risk

GC

Provides:

- timeline
- milestone completion
- photos
- invoices/payment requests
- change orders

Project Manager

Provides:

- progress
- inspections
- timeline updates
- supporting evidence

Accountant / Finance

Provides:

- expenses
- bank transactions
- cards
- reconciliation

Lender

Probably **not an active user initially**.

GroundUp receives lender data instead.

This distinction matters.

13. Your MVP dashboard becomes much clearer now

For each project, I would show:

Project Economics

Projected Profit

\$455K

↓ \$195K from original

Projected ROI

17.9%

Original ROI

27.7%

Construction

Current Budget

\$1.32M

Actual Spend

\$815K

Lender Funded

\$720K

Unfunded Exposure

\$95K

Schedule

Baseline Completion

Mar 2027

Current Forecast

May 2027

Delay

61 days

Estimated Carry Impact

-\$42K

Contingency

Original:

\$82K

Used:

\$40K

Remaining:

\$42K

Attention

- Electrical \$18K over budget
- Draw #8 short-funded \$11K
- Framing 14 days late
- Interest reserve only 3.2 months remaining

That gets much closer to the product you described in this call.

14. What I would tell the developers to do next

Before writing more code, deliver these four artifacts.

1. Role × Use Case Matrix

For every role:

What data do they provide?

What do they see?

What can they change?

What decisions do they make?

2. Project Lifecycle Model

Map:

Acquisition → Financing → Budget → Timeline → Construction → Draws → Completion → Sale → Investor Return

3. Data Mapping Exercise

Take one **completed project** and map every source:

- acquisition HUD/closing statement
- GC contract
- budget
- loan documents
- draw history
- bank statements
- credit cards
- invoices/checks
- construction timeline
- sale closing statement

into the GroundUp schema.

The completed project you agreed to provide is especially valuable because it lets the team reconstruct actual economics from beginning to end. RE Groundup App

4. One New Live Project

Then run the same schema prospectively on a brand-new project.

That combination is perfect:

Completed project → prove GroundUp can reconstruct reality.

New project → prove GroundUp can monitor reality as it develops.

The biggest clarification from this call is that GroundUp's real North Star is now sharper:

At any point in a development, GroundUp should tell the owner what they originally expected to make, what they are now expected to make, what changed, and exactly why.

Everything else—budget, draw, timeline, invoices, photos, financing—is supporting data for answering that question.

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Thank You

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 **RE Groundup App.txt**
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